

the business and not from its statistical record. A stable record suggests that the business is inherently stable, but this suggestion may be rebutted by other considerations.

Examples: This point may be brought out by a comparison of two preferred-stock issues as of early 1932, viz., those of Studebaker (motors) and of First National (grocery) Stores, both of which were selling above par. The two exhibits were similar, in that both disclosed a continuously satisfactory margin above preferred-dividend requirements. The Studebaker figures were more impressive, however, as the following table will indicate:

Number of Times Preferred Dividend Was Covered

First National Stores		Studebaker	
Period	Times covered	Calendar year	Times covered
Calendar year, 1922	4.0	1922	27.3
Calendar year, 1923	5.1	1923	30.5
Calendar year, 1924	4.9	1924	23.4
Calendar year, 1925	5.7	1925	29.7
15 mos. ended Mar. 31, 1927	4.6	1926	24.8
Year ended Mar. 31, 1928	4.4	1927	23.0
Year ended Mar. 31, 1929	8.4	1928	27.3
Year ended Mar. 31, 1930	13.4	1929	23.3
Annual average	6.3		26.2

But the analyst must penetrate beyond the mere figures and consider the inherent character of the two businesses. The chain-store grocery trade contained within itself many elements of relative stability, such as stable demand, diversified locations, and rapid inventory turnover. A typical large unit in this field, provided only it abstained from reckless expansion policies, was not likely to suffer tremendous fluctuations in its earnings. But the situation of the typical automobile manufacturer was quite different. Despite fair stability in the industry as a whole, the individual units were subject to extraordinary variations, due chiefly to the vagaries of popular preference. The stability of Studebaker's earnings could not be held by any convincing logic to demonstrate that this company enjoyed a special and permanent immunity from the vicissitudes